



PHILIP CARRET

1896–1998

"If there ever was a hall of fame for investment advisers," said Warren Buffett, "he'd be among the first ten in it." Philip Carret founded one of the first mutual funds, the Pioneer Fund, in 1928, and he managed it until he sold it in 1963. That same year, he founded Carret and Co., a money management firm. More than 30 years later, at the age of 101, he was still going to the office. Yet, it took him a while to find his calling. After earning a chemistry degree from Harvard and then training as an aviator (World War I ended before he saw action), he wandered around the United States. Carret eventually found a job selling bonds in Seattle, then in Boston, before quitting to become a reporter for *Barron's*. While working for the paper he came up with the idea of pooling money for investment, so in 1927 he left the paper to manage \$25,000 contributed by friends and family.

Carret's investment style was to find value and hold it for the long term. As for those fund managers looking for quick scores who hold stocks only for days or weeks, he called their strategy "the pinnacle of stupidity." He advised looking around your immediate environment for investment ideas. For example, he happened to use Neutrogena soap, liked it, and started buying the company's stock. Johnson & Johnson eventually bought the company for \$33 a share—Carret had paid \$1.

Unlike Philip Fisher, who scrutinizes a company's management, Carret never felt the need to know the management of all the companies in which he had invested, but he did like the executives to own a good chunk of stock. And he hated overly optimistic letters in the annual report, preferring them to be mildly pessimistic. Carret also looked for companies that were leaders in their industry and that reinvested their money wisely. "Management has only so much cash at its disposal," he said. "If it pays dividends, I see it as a confession of failure. The company is saying, *We don't know where to invest the money so we'll give it to you, the stockholders.*" In *When Speculation Becomes Investment*, he provides "Twelve Commandments for Speculators," including: "Be quick to take losses, reluctant to take profits."